

And yet there are other reasons for this low popularity. One appears to be its complexity as it requires a certain level of financial understanding. For instance, knowledge on choosing the best pension fund managers, deciding on the equity-debt mix, etc. Experts believe many employers may not be fully aware of the potential long-term benefits it can provide employees. “NPS has a complex investment structure,” says Adhil Shetty, CEO of BankBazaar.com. “It has a two-tier structure: a pension account that gives tax benefits and is mandatory to open for NPS, and an optional account with withdrawal flexibility. Risk profiles, returns, and tax benefits have very different functions. While the underlying complexity is essential to enable the scheme to offer multiple investment choices, it can also confuse some investors,” says Shetty.

Another drawback is that when an employee turns 60, they must invest at least 40 per cent of the corpus in an annuity scheme, the yields of which are a paltry 3–7 per cent pre-tax. Besides, the pension income from annuities is taxable per the slab rate, so the net returns may be negative after inflation. “Considering inflation, the returns offered by the NPS are relatively low. Further, these plans are cumbersome to set up and administer. These are associated with costs if outsourced for record-keeping, investments and administration,” says Maneet Pal Singh, Partner at chartered accountancy firm I.P. Pasricha & Co.

The quantum of equity allocation, too, is an issue. “NPS subscribers can only invest up to 75 per cent in equity (the rest is invested in corporate debt and government bonds), and consequently, the returns are also lower,” adds Sowmya Kumar, Partner at INDUSLAW.

Then there is the risk that low commissions can act as a disincentive for pension funds. “In financial products like MFs or unit-linked insurance plans (ULIP), a distributor makes around 200 basis points (bps) or at least 100–75 bps. In the NPS, pension funds make 9 bps,” explains Sumit Shukla, MD and CEO of Axis Pension Fund.

NPS investments also have low liquidity. Once invested, the money is locked in until the investor turns 60, with only partial premature withdrawals allowed under specific conditions. “The contribution and withdrawal rules of NPS might not suit some investors’ specific financial goals or preferences. Moreover, NPS has a long lock-in period, especially for the Tier I account, where withdrawals are limited until retirement age,” says Shetty.

THE EPF WALL

One huge hurdle that the NPS has come up against is the Employees’ Provident Fund (EPF), which is mandatory for employees with salaries below ₹15,000 a month. And even though it is voluntary for those who earn more than that, the NPS has come to be viewed as an additional option—

HEAD TO HEAD

NPS is billed as an extremely low-cost tool compared with mutual funds

NPS vs MFs

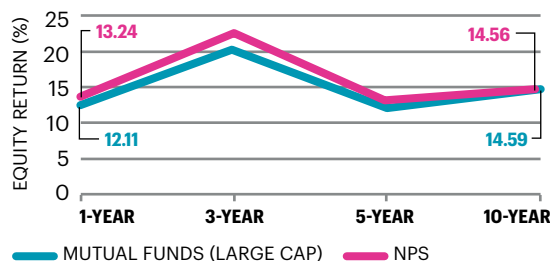
INVESTMENT (₹)	NPS PENSION FUND*	MF*
50,000	45	1,000
1,00,000	90	2,000
5,00,000	450	10,000
10,00,000	900	20,000
25,00,000	2,250	50,000
50,00,000	4,500	1,00,000

* ADVISOR FEE

NOTE THIS IS FOR ILLUSTRATION PURPOSES ONLY. WE HAVE TAKEN NPS PENSION FUNDS’ EARNINGS AT 0.09 PER CENT OF THE VALUE OF CORPUS, AND MF EARNINGS AT 2 PER CENT OF THE VALUE OF THE CORPUS. BOTH SCHEMES ARE MARKET LINKED

NECK AND NECK

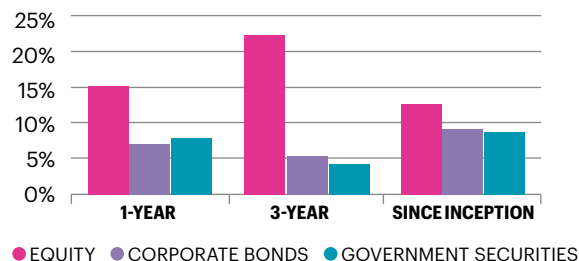
Studies show that returns offered by NPS are similar to equity mutual funds



SOURCE: BT RESEARCH AND NPS TRUST WEBSITE. DATA AS ON AUGUST 11

RETURNS TRACKER

Average returns generated by the seven oldest pension funds



SOURCE PFRDA